

A checklist may help taxpayers navigate year-end planning

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With the passage of the OBBBA, the tax landscape is changing since many of the new provisions will impact the 2025 tax year.

It's important to assess personal finances before the end of the year to determine if action is needed. This may include reviewing portfolios, funding retirement accounts and making gifts to family members or charities.

Review this checklist for strategies to minimize taxes and other potential benefits.

This resource can help uncover opportunities to improve your financial plan for the coming year. Explore our year-end planning checklist.

Here are a few highlights from each area:

Keep investments on track

Adjust or rebalance portfolios to make sure asset allocation reflects current risk profile

Be aware of mutual fund distribution dates before making purchases

Identify opportunities to minimize taxes

Estimate your projected income for the year to determine your marginal tax bracket

If a low tax bracket applies, consider accelerating income before the end of the year; if a high tax bracket applies, consider deferring income into next year if possible

Maximize new tax deductions if possible, including the expanded deduction for state and local taxes (SALT), tips, overtime and the deduction for seniors

Focus on retirement planning priorities

Maximize retirement savings including catch-up contributions if age 50 or older and the additional catch-up contribution for those ages 60 through 63

Remember to take required minimum distributions (RMDs), including those on inherited retirement accounts

If concerned about higher taxes in the future, consider a Roth IRA conversion

Understand options for charitable giving

Make charitable gifts before year-end to lower taxable income (if itemizing deductions)

If over age 70½ donate to charities from your IRA using a qualified charitable distribution (QCD)

Lump several years of charitable gifts into one year using a donor advised fund to itemize deductions

Create a legacy for family members

Utilize the annual gift tax exclusion before year end (\$19,000 per individual or \$38,000 for married couples electing to split gifts)

Make sure important documents (e.g., wills, trusts, powers of attorney, health care directives) are in place and up to date

Make gifts into 529 college savings plans

Consult with an advisor

It is important to discuss tax, charitable giving, retirement and estate planning strategies with a tax and financial advisor to determine if they are appropriate for your overall financial plan.

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